Annual Billing Without a Separate Agreement

Lean Approach and Exact Language

> **Attorney review recommended.** I'm an AI, not a lawyer. This is practical contract / checkout wording, not a legal opinion on enforceability in every customer's jurisdiction.

Short Answer

Tim is directionally right: Graylock does **not** need a separate signed document or separate agreement just because a customer chooses annual billing.

The existing MSA already says that checkout acceptance has the same legal effect as a handwritten signature. The clean approach is to use the **same checkout / payment acceptance mechanism** for both monthly and annual plans.

The distinction is important: **payment by itself is not the part to rely on.** The annual option's material terms need to be clearly shown immediately before payment, and the customer needs to affirm that the payment is for the annual plan. That can all happen on one payment page or invoice-payment page. It does not need to be a separate agreement sent for signature.

The annual payment page should make four facts impossible to miss:

The customer must see before paying	Why it must be clear
The exact annual amount due today and the 10% annual discount	Shows what is being charged.
The exact annual service dates and next renewal date	Shows that the payment covers a full year and when it renews.
Automatic annual renewal unless canceled	Shows the future charge authorization.
Cancellation stops the next renewal only; the current annual payment is not prorated or refunded	Prevents the "I canceled after six months, so refund half" expectation.

That approach fits the FTC's core consumer-facing guidance: material subscription and cancellation facts should be clear before the customer pays, and cancellation instructions should be clear. [1] Montana also requires clear disclosure of total cost and material restrictions / conditions before requesting payment from a consumer, and prohibits misrepresenting material aspects of a refund or cancellation policy. [2]

What to Change in the Terms Draft

Do **not** use a separate "Annual Plan Confirmation" document. Replace that concept everywhere in the Terms with **"checkout records or invoice-payment acceptance."**

1. Use This Definition Instead of "Annual Plan Confirmation"

> "**Annual Prepaid Plan**" or "**Annual Plan**" means an optional, prepaid 12-month Subscription billing arrangement that Graylock may offer to eligible Customers in its discretion. An Annual Plan is selected through Graylock's checkout process or accepted through payment of a Graylock invoice that clearly identifies the annual billing arrangement and incorporates this Agreement. "**Annual Fee**" means the full prepaid Subscription fee for one Annual Term, calculated as ninety percent (90%) of the aggregate base Subscription fees otherwise payable for twelve monthly billing cycles at the applicable Subscription Tier, unless Graylock's checkout page or invoice states a different amount or calculation. The Annual Fee excludes applicable taxes, approved overage charges, approved à la carte services, third-party fees, and other charges not expressly included. "**Annual Term**" means the 12-month period beginning on the Subscription Start Date or applicable Annual Renewal Date. "**Annual Renewal Date**" means the calendar anniversary of the Subscription Start Date, and each subsequent calendar anniversary, on which the next Annual Fee is due and may be automatically charged unless the Annual Plan has been canceled before the charge is processed. If the applicable calendar anniversary does not occur in a given year, the Annual Renewal Date will be the last calendar day of that month.

2. Use This Section 4.2A

> #### 4.2A Annual Prepaid Plan
>
> Graylock may offer an Annual Prepaid Plan to eligible Customers in its discretion. Under an Annual Plan, the Customer pays the full Annual Fee in advance for a 12-month Annual Term. Unless a different amount is clearly stated at checkout or on the applicable invoice, the Annual Fee equals ninety percent (90%) of the aggregate base Subscription fees otherwise payable for twelve monthly billing cycles at the applicable Subscription Tier, representing a 10% annual-prepayment discount.An Annual Plan automatically renews for successive 12-month Annual Terms on each Annual Renewal Date unless the

> Customer cancels future renewal under Section 4.3 before the renewal charge is processed.

3. Use This Portion of Section 4.5

> ### 4.5 Payment Method and Annual Renewal Authorization
>
> You authorize Graylock to charge the payment method on file for your Subscription fee, any Annual Fee you select through checkout or accept by paying a Graylock invoice that clearly identifies the Annual Plan, any à la carte services you authorize, and any update time exceeding your included allowance that you have approved.By selecting an Annual Prepaid Plan at checkout or paying an invoice clearly identified as an Annual Prepaid Plan, you authorize Graylock to charge the Annual Fee now and automatically charge the then-applicable Annual Fee on each Annual Renewal Date unless you cancel future renewal under Section 4.3 before the renewal charge is processed. Before payment is completed, Graylock will state the initial Annual Fee, the 10% annual discount, the Annual Renewal Date, the cancellation method, and the Annual Plan refund terms.

4. Keep the Annual Cancellation Language

> **Annual Plans.** If you are on an Annual Prepaid Plan, cancellation stops the next Annual Renewal only. Your Annual Plan remains active through the end of the then-current Annual Term, and Graylock will not charge a subsequent Annual Fee after a valid cancellation request is received and processed before the next Annual Fee is charged.The Annual Fee is prepaid for the full Annual Term. Except as required by applicable law, Annual Fees are non-refundable, non-creditable, and not subject to proration. This rule applies regardless of when you request cancellation, including if you cancel shortly after the Annual Fee is charged, partway through the Annual Term, or near the end of the Annual Term.

5. Keep This Guarantee Exception

> **Annual Prepaid Plan Exception.** Unless Graylock expressly states otherwise in writing, the 30-day money-back guarantee does not apply to an Annual Prepaid Plan. Annual Fees are governed by Section 4.3 and are non-refundable except as required by applicable law.

The Only Customer-Facing Payment Language You Need

This copy belongs directly **above the payment button** on the one checkout / invoice-payment page. It is not a separate document.

> **Annual Prepaid Plan**
>
> **Due today:** $[Annual Fee]
>
> **Savings:** 10% compared with twelve monthly payments
>
> **Service period:** [Start Date]–[End Date]
>
> **Automatic renewal date:** [Renewal Date]This is a prepaid 12-month Annual Plan. It automatically renews each year on the renewal date unless you cancel future renewal before the charge is processed. You may cancel future renewal at any time. Cancellation stops the next annual renewal only; it does not create a refund or credit for the current Annual Term.**Important:** The Annual Fee is non-refundable and non-prorated after payment, except where applicable law requires otherwise. The 30-day money-back guarantee does not apply to this Annual Plan.

Then use one required, **unchecked** checkbox:

> **I agree to the Graylock Digital Terms of Service and understand that I am selecting a prepaid 12-month Annual Plan that renews annually unless I cancel future renewal. I understand that the current Annual Fee is non-refundable and non-prorated after payment, except where required by law.**

The payment button can then say:

> **PAY $[Annual Fee] & START ANNUAL PLAN**

If Tim Sends a Manual Invoice Instead of a Checkout Link

Use the same annual-plan summary and the same checkbox / acceptance language on the invoice-payment page. If the invoicing system cannot display a required checkbox, place this language directly above the payment button:

> **By paying this invoice, you agree to the Graylock Digital Terms of Service and confirm that you are purchasing a prepaid 12-month Annual Plan. The plan renews annually unless canceled before renewal. Cancellation stops the next renewal only; the current Annual Fee is non-refundable and non-prorated after payment, except where required by law. The 30-day money-back guarantee does not apply to this Annual Plan.**

The invoice must also visibly show the annual fee, 10% discount, service dates, and renewal date. Do not send a standard invoice that says only “website services” and expect a buried Terms link to carry all of the annual-plan details.

Bottom Line for Tim

> **Yes: you can use one normal payment / checkout process and treat payment as acceptance of the annual arrangement. No: you do not need a separate signature packet. But the annual payment page or invoice must plainly show what the customer is accepting before payment, and Graylock should retain a record of that acceptance.**

[1] Federal Trade Commission — Auto-Renewals and Negative Option Subscriptions
[2] Montana Code Annotated § 30-14-1410 — Disclosure and Contract Requirements